



INTEREST RATES: A HISTORY

From Biblical Times to
the Contemporary Age

Setting interest rates

- Many historians of economic history assume that interest rates reflect the debtor's use of creditor assets
- Debtor will calculate what the loan is worth to him before taking on the debt
- High interest rates payable to the lender could be justified as many loans were forgiven anyway
- Debtors would charge high interest rates because of jubilee risk

Babylonian Interest Rates

- Hammurabi's legal code set interest rate caps near the commonly prevailing rates
- Market clearing rates may have exceeded these caps on occasion
- Ceiling on grain loans 33.3%
- Ceiling on silver loans 20%
- Limited historical records suggest higher interest rates were charged in the pre-code times

Grain v. Silver loans: why the different rates?

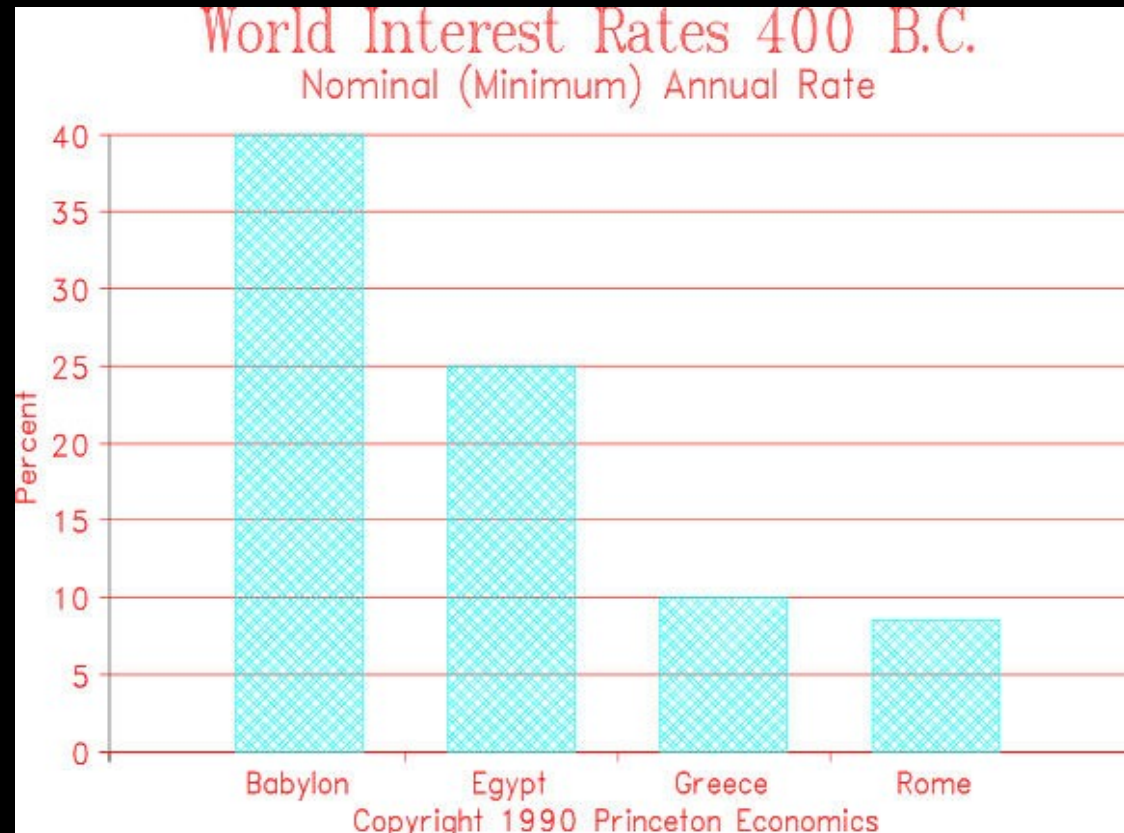
- State policy making likely reflected an understanding of how the capital markets operated
- Grain affected by weather events
- Silver was the medium of exchange; tended to hold value better
- Grain loans critical
- Silver loans "elective" for commercial purposes, so the risk of a binding cap can be taken

Babylonian Banking

- Commerical banking was more sophisticated than one might assume for an ancient civilization
- Historical evidence exists for the following financial instruments: drafts, accounts, deposits, transfers
- Limited use of overnight loans with interest charges
- Rich people and their businesses used these to cover cash flow needs

Political Instability and interest rates

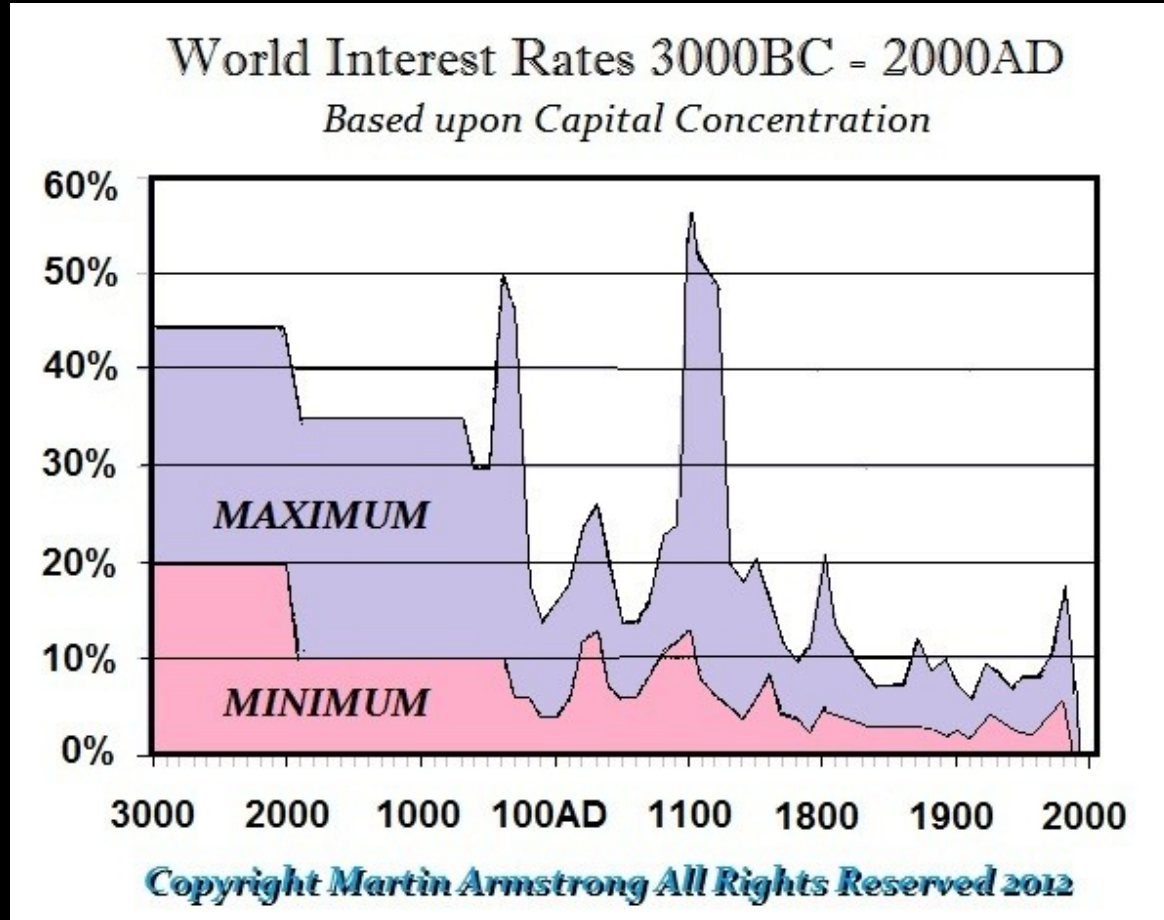
- Decline and eventual fall of Babylon to the Persians was associated with higher interest rates
- Rates on some loans soared to 40% in the provinces
- This was in the decades preceding the Persian conquest in 539 BC
- Effect lingered for centuries, as the graph indicates



Greek and Roman Interest Rates

- Classical Greek interest rates ranged from 8-12% (4th & 5 century BC)
- Roman rates ranged from 4-12%, with 8.3% being the most common charge
- This rate is $\frac{1}{12}$ of the principal amount, as Romans used a base 12 for these calculations, like the Julian calendar
- No debt Jubilees

Societal Advancement and interest rates



- Long-term trend has been for rates to decline over time
- More modern societies have more stability, leading to lower risk
- Absence of debt jubilees today
- Larger, more liquid capital markets

Interest Rates and Finance After the Fall of Rome

- Capital markets smaller and more illiquid than before
- Interest rates higher than in Roman times, around 10-20%
- Non-Christians in finance
- Innovative practices to get around Usury laws by Catholics
- Zero-coupon bonds
- Census Contracts

Interest Rates and Finance after the Protestant Reformation

- Protestants largely did away with prohibition on usury
- Calvinist teachings legitimized the charging of interest in Switzerland
- Other protestant countries such as the Netherlands and England joined
- Dutch East India Company 1600
- British East India Company 1602
- Bank of England 1694
- Interest rates 3-4% of Dutch government debt, risk free rate
- English interest rates of 5-10%

Interest Rates: Nominal v. Real?

- All interest rates quoted in this PowerPoint are nominal
- Historical real interest rate data going back more than a couple of centuries is spotty
- Inflation in ancient societies could vary radically
- This may distort or lead to incorrect conclusions if not considered by researchers
- Price levels in Babylonia before the decline were generally stable in favorable harvest years
- Feel free to ask me questions should you have any

Sources Used

- [3000 B.C. - 500 A.D. The Ancient Economy | Armstrong Economics](#)
- [How Did Ancient Bureaucrats Set Their Interest Rates? - Biblical Archaeology Society](#)
- [Hudson-InterestRatesSet-2000.pdf](#)

